Practice workbook · Sorting costs into fixed and variable

Picking out from a cost table which items vary with output and which do not, then adding the right ones.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ECO-CALC-08

1. Question 2 · part d · 2 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

2 (a) Which **one** of the following would lead to an increase in the supply of labour?

(1)

- ☒ **A** Decrease in the retirement age
- ☒ **B** Increase in the school-leaving age
- ☒ **C** Increase in female participation
- ☒ **D** Decrease in population

A small firm manufactures jewellery to the exact requirements of its customers.

(b) This is an example of which **one** of the following markets?

(1)

- ☒ **A** Monopoly
- ☒ **B** Labour
- ☒ **C** Niche
- ☒ **D** Financial

(c) State the formula for price elasticity of supply (PES).

(1)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

1. Question 2 · part d · 2 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Figure 2 shows some of the monthly production costs for a firm which manufactures clothing.

Production costs	US$
Rent	25 000
Raw materials	12 000
Insurance	5 500
Labour (payment depends on output)	115 000

Figure 2

(d) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

OLevels.com SCHOOL

(e) Define the term minimum wage.

(1)

1. Question 2 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 2 · part c · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

2 (a) Which **one** of the following is the correct label to replace 'X' on the diagram below?

(1)

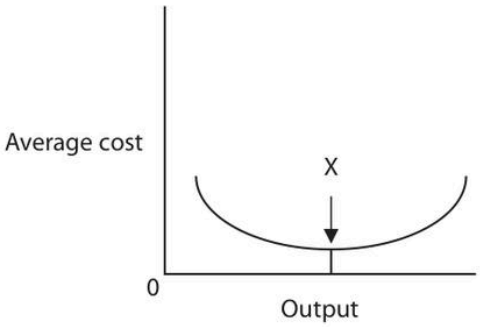


Figure 3

- ☒ **A** Internal economies of scale
- ☒ **B** External economies of scale
- ☒ **C** Total costs
- ☒ **D** Most efficient

(b) Which **one** of the following is an example of derived demand?

(1)

- ☒ **A** Consumer demand for clothes to wear
- ☒ **B** Tourist demand for foreign holidays
- ☒ **C** Producer demand for labour to make goods
- ☒ **D** Student demand for computer games to play

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

2. Question 2 · part c · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

Figure 4 shows some of the production costs in November for a firm manufacturing rugs and carpets in Pakistan.

Production costs	Pakistani Rupee (Rs)
Rent	40 250
Raw materials	20 050
Advertising	10 125
Labour (paid in direct proportion to output)	210 000

Figure 4

(c) Calculate the **total fixed costs** for the firm in November. You are advised to show your working.

(2)

(d) What is meant by the term demand?

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.COM — SCHOOL —

P 6 2 6 4 1 R A 0 1 0 2 8

2. Question 2 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 2 · part d · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

2

Market share by firm for a market in Azerbaijan

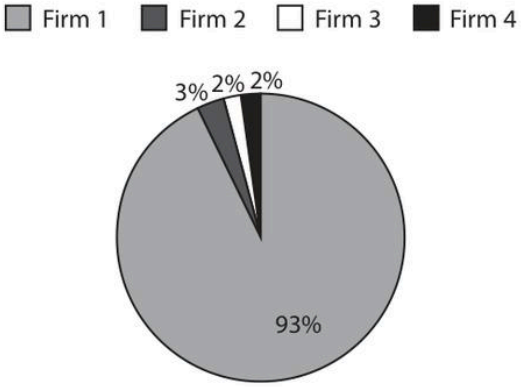


Figure 3

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 3?

(1)

- ☒ **A** Cartel
- ☒ **B** Oligopoly
- ☒ **C** Monopoly
- ☒ **D** Competitive

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may accurately calculate the satisfaction they gain
- ☒ **B** Consumers may have habits that are hard to give up
- ☒ **C** Consumers are always rational when making decisions
- ☒ **D** Consumers never copy the behaviour of others

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 6 2 0 3 0 A 0 8 2 4

3. Question 2 · part d · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

(c) State the formula for price elasticity of supply (PES).

(1)

Figure 4 shows some of the production costs in the month of May for a firm manufacturing football souvenirs in Qatar, in preparation for the 2022 World Cup.

Production costs	Qatari Riyal (QR)
Rent	5 000
Raw materials	2 000
Advertising	500
Labour (paid according to output)	15 000

Figure 4

(d) Calculate the **total variable costs** for the firm in the month of May. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

3. Question 2 · part d · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part d only.

(e) Define the term takeover.

(1)

(f) Describe **one** reason why demand for a product usually becomes more price elastic over time.

(2)

In the UK, the speed limit for drivers in urban areas is 30 miles per hour (48 kilometres per hour).

(g) Explain **one** reason why the UK Government may use fines to reduce the negative externalities caused by drivers speeding in urban areas.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

10

P 6 2 0 3 0 A 0 1 0 2 4

3. Question 2 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 1 · part f · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part f only.

1 (a) Which **one** of the following might have caused the movement from PPF_1 to PPF_2 in Figure 1 above?

(1)

- ☒ **A** Negative economic growth
- ☒ **B** Positive economic growth
- ☒ **C** Diseconomies of scale
- ☒ **D** Economies of scale

(b) A firm has total costs of $10 000 and sells each item at a price of $100. It sells 200 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $20 000 profit
- ☒ **B** $10 000 profit
- ☒ **C** $20 000 loss
- ☒ **D** $10 000 loss

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
OLevels.com SCHOOL

P 7 4 0 5 6 R A 0 2 2 4

4. Question 1 · part f · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part f only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(c) What is meant by the term privatisation?

(2)

(d) State **one** reason why the government regulates competition in the economy.

(1)

OLevels.COM SCHOOL

(e) Define the term congestion.

(1)

4. Question 1 · part f · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part f only.

Figure 2 shows some of the monthly production costs for a firm which makes furniture.

Production costs	€
Rent	30 000
Raw materials	16 500
Insurance	7 000
Labour (payment depends on output)	95 000

Figure 2

(f) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 1 · part f · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part f only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Figure 3 shows the market for apples.

(g) Using the diagram below, draw the likely effects on the market for apples following an increase in the advertising of apples. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

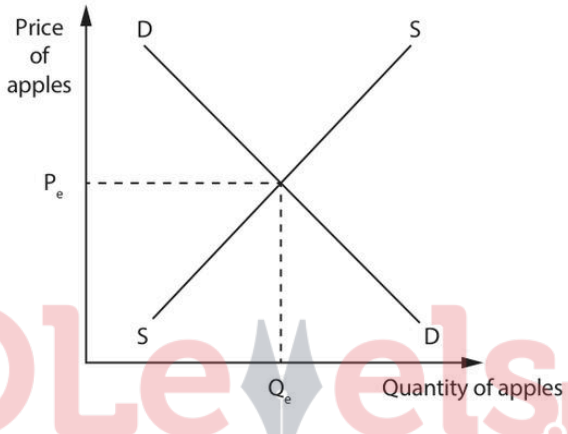


Figure 3

A firm produces tennis balls. There are a number of stages in the process of producing tennis balls. The firm uses division of labour in its factory.

(h) Explain **one** advantage of using division of labour for the firm.

(3)

OLevels.COM SCHOOL

4. Question 1 · part f · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 2 · part d · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part d only.

2 (a) A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm?

(1)

- ☒ **A** $250
- ☒ **B** $4 556 250
- ☒ **C** 250 units
- ☒ **D** 4,556,250 units

(b) Which **one** of the following is a possible cause of positive economic growth?

(1)

- ☒ **A** Decreasing population
- ☒ **B** Decreasing productivity
- ☒ **C** Increasing unemployment
- ☒ **D** Increasing technological advancements

(c) What is meant by the term opportunity cost?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

5. Question 2 · part d · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part d only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Figure 3 shows some of the production costs in March for a firm manufacturing clothing in Bangladesh.

Production costs	Bangladeshi Taka (Tk)
Rent	20 250
Raw materials	10 050
Advertising	5 125
Labour (paid in direct proportion to output)	105 000

Figure 3

(d) Calculate the **total fixed costs** for the firm in March. You are advised to show your working.

(2)

OLevels.com SCHOOL

(e) Describe **one** reason why an entrepreneur is a factor of production.

(2)

5. Question 2 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 4 · part a · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

4 Figure 3 shows the costs to a firm of running a machine to produce an order of goods.

Purchase price of machine ($)	Electricity ($ per hour)	Production time (hours)	Insurance ($)
1 036	0.45	19	17

Figure 3

(a) Calculate the **total variable costs** of this order for the firm.
You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

6. Question 4 · part a · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

A project to update the infrastructure and develop new routes along Indian railways has been in progress for a number of years. One part of the plan is to expand the rail network between Hyderabad and Karnataka.

The expanded railway network will provide more services for passengers, along with more freight trains. This will mean more raw materials, including cement, iron ore and steel can be transported.

(b) With reference to the data above and your knowledge of economics, analyse the impact of external economies of scale on construction firms in India.

(6)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

6. Question 4 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 2 · part c · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

2

Market share by sales of firms in a market in Kuwait

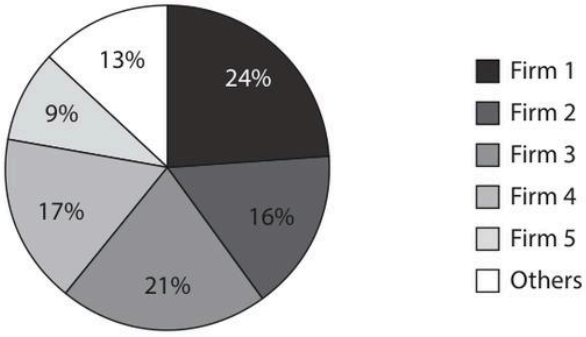


Figure 2

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 2?

(1)

- ☒ **A** Monopoly
- ☒ **B** Oligopoly
- ☒ **C** Public sector
- ☒ **D** Labour

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may not accurately calculate benefits
- ☒ **B** Consumers may find it easy to give up habits
- ☒ **C** Consumers never copy the behaviour of others
- ☒ **D** Rational decisions are always made by consumers

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 5 9 5 4 A 0 8 2 4

7. Question 2 · part c · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Figure 3 shows some of the production costs in the month of September for a firm manufacturing rugby souvenirs in France, in preparation for the 2025 Six Nations tournament.

Production costs	Euro (€)
Rent	7 000
Raw materials	3 000
Advertising	1 300
Labour (paid according to output)	18 000

Figure 3

(c) Calculate the **total variable costs** for the firm in the month of September. You are advised to show your working.

(2)

(d) What is meant by the term total revenue?

(2)

OLevels.COM SCHOOL

7. Question 2 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL